Contract Terms

What the parties have agreed, and what the law adds

You agree to pay £30 for a translation of a university notice, to be delivered by Friday. The price, work and deadline describe the content of the bargain. Now imagine an earlier advertisement: “The finest translations in the universe!” Does that slogan create an additional contractual obligation?

This guide introduces contractual terms in the law of England and Wales for university English students with no legal background. It moves from *whether a contract exists* to *what the contract requires*.

1 A term is part of the contract

A **term** is a provision of the agreement: for example, a payment obligation, a description of goods, a performance deadline or an allocation of risk. A **clause** is a section of a written document. Contract terms are not confined to numbered clauses.

An **express term** is explicitly agreed. It may be written or spoken, provided the transaction does not require a particular form. “Express” therefore does not mean “written”, and an oral agreement can contain express terms.

2 Some terms are not expressly stated

SOURCE	WHAT IT MEANS
Express agreement	The parties explicitly agree the content, in words.
Implication in fact	A term is inferred for this particular bargain under strict tests, such as necessity for business efficacy or obviousness.
Law or statute	A rule supplies a term for a type of contractual relationship. For example, consumer goods legislation provides quality requirements.

An **implied term** is not simply whatever seems fair. Implication in fact involves a demanding legal test; the proposed term must also be clear and must not contradict an express term. Different rules govern terms supplied by law, legislation or an established qualifying custom.

3 A concrete statutory example

For goods supplied by a trader to a consumer within the Consumer Rights Act 2015, section 9 includes a term requiring satisfactory quality. The standard considers matters such as description, price and relevant circumstances. The buyer need not negotiate a separate clause stating that requirement.

This does not mean every private sale is governed by that consumer rule. Identify the parties and the applicable legal regime before deciding which terms the law supplies.

Statements Before the Contract

4 Puff, representation or contractual promise?

STATEMENT	BASIC QUESTION
Puff	Is this obvious promotional exaggeration, rather than a factual assurance or promise?
Representation	Is this a statement of fact or law that helps induce the other party to contract?
Contractual term	Would the words and circumstances objectively show a binding contractual commitment?

A **puff** is promotional language not reasonably understood as a serious assurance. In the fictional slogan “the finest translations in the universe”, the extravagant praise is normally not a measurable contractual promise.

Contrast a specific statement: “This laptop has 16 GB of memory.” A buyer may rely on it when deciding to purchase. Its legal status depends on context: it may be a representation, a contractual term, or both.

5 The categories can overlap

A **representation** can induce someone to enter the contract without itself being a contractual promise. But a statement that induces the transaction can also become a term. Do not assume that terms arise only after negotiations or cannot influence the decision to contract.

A false statement inducing the agreement may raise **misrepresentation**. Failure to comply with a term may raise **breach of contract**. Where the same statement has both roles, both legal routes may need examination, subject to their separate requirements.

6 Different legal routes, different questions

For breach, identify the contractual obligation and how it was not met. For misrepresentation, identify the false statement, its maker, and its role in inducing the agreement. Remedies may include rescission or damages, depending on the legal basis and facts.

Rescission seeks to set the transaction aside; it is distinct from ending future performance for breach. Neither substantial damages nor rescission follows automatically whenever a statement proves inaccurate.

7 Context matters more than a label

Consider the words used, the speaker’s knowledge, the recipient’s reliance, the statement’s importance and the agreement’s form. A document is important evidence, but omission from it does not always settle whether an earlier statement has contractual effect.

These are aids to an objective assessment, not a mechanical scoring system. Ask what a reasonable observer would understand the parties to have committed to.

Two Car Sales Compared

Oscar Chess Ltd v Williams [1957] 1 WLR 370
Dick Bentley Productions Ltd v Harold Smith (Motors) Ltd [1965] 1 WLR 623

8 Oscar Chess: the private seller’s belief

Williams offered a Morris car in part exchange to motor dealer Oscar Chess. He described it as a 1948 model and produced its registration book. Both sides relied on that information, but the car was actually made in 1939. The dealer claimed £115 for the difference in value.

Outcome: Williams won on appeal by a majority. The dealer’s contractual claim failed. The seller had no personal knowledge of the manufacture year and was passing on his honest belief from the document; the buyer was a motor dealer. The statement was not a binding contractual promise.

9 Dick Bentley: the dealer’s assurance

A dealer told Bentley that a car had travelled only 20,000 miles since being fitted with a replacement engine and gearbox. The assurance was wrong. The dealer was in a position to investigate the car’s history but had made the statement without a proper foundation.

Outcome: the buyer won. The dealer’s appeal was dismissed, leaving the £400 damages award in place. The assurance was treated as a contractual warranty. The dealer’s knowledge and the buyer’s reliance supported that conclusion, despite the finding that the dealer had not acted fraudulently.

COMPARE	WHAT THE CASES SHOW
Private seller passing on a document	An important statement can remain a representation rather than a contractual promise.
Dealer giving an assurance about history	Expertise and responsibility for information can support contractual commitment.

10 Avoid two shortcuts

These decisions do not mean every private seller escapes contractual liability or every dealer’s statement becomes a term. They illustrate contextual assessment of responsibility for an assurance.

The word **warranty** in discussions of these cases can denote a binding assurance. First ask whether the statement is contractual at all; only then consider classification as a condition, warranty or innominate term for remedies.

11 Read historical remedies in context

Both cases predate the Misrepresentation Act 1967. Do not infer that an honestly made false statement can never lead to a remedy today. The Act also expressly addresses misrepresentations that become contractual terms.

A Practical Method

12 Five questions for reading a problem

1. What was said? Record the exact assurance, promise or slogan.
2. What was agreed? Identify express terms and their incorporation.
3. What may be implied? Identify a legal source and satisfy its test.
4. What went wrong? Distinguish a false inducement from failure to perform an obligation.
5. What remedy follows? Apply the relevant rules; do not assume every failure permits termination.

13 Essential vocabulary

Express / implied: explicitly agreed / supplied without express words.
Incorporation: becoming part of the contract.
Induce: help cause someone to enter the agreement.
Assurance: a statement intended to inspire confidence.
Objective: assessed through words and conduct, rather than undisclosed thoughts.
Rescission: setting aside the transaction under the applicable rules.

14 Check your understanding

1. Must every express term be written?
2. May courts imply any term that seems fair?
3. Can the same statement be both a representation and a term?
4. Who won each car-sale case?
5. Does breach of any term automatically permit termination?
6. What distinguishes misrepresentation from breach of contract?

Answers: 1. No; express terms can be oral. 2. No; implication requires a recognised basis and its legal test. 3. Yes. 4. Williams won Oscar Chess; the buyer won Dick Bentley. 5. No; examine classification, consequences and any applicable termination rights. 6. Misrepresentation concerns the false inducement; breach of contract concerns failure to comply with a term.

Authorities: Oscar Chess, judgment; Dick Bentley, judgment; Marks and Spencer [2015] UKSC 72, paragraphs 18-23; Misrepresentation Act 1967, section 1; Consumer Rights Act 2015, section 9.

Adapted from the supplied Contract Terms lesson, clarifying oral terms, implication and the overlap with representations. Cases added to illustrate the distinction. Examples are simplified for beginners.